

INFOSYS LTD — EQUITY RESEARCH TEAR SHEET

Initiating Coverage | 22 August 2026 | NSE: INFY | BSE: 500209

VIEW	CMP	TARGET	UPSIDE / (DOWNSIDE)	WACC
HOLD / NEUTRAL	Rs 1,121	Rs 1,037	-7.5%	11.59%

Investment View

Infosys combines resilient margins and improving large-deal quality with subdued FY27 growth guidance. The valuation is mixed: the DCF indicates meaningful downside at the current price, while core-peer multiples imply a substantial discount. The model therefore adopts a conservative HOLD / NEUTRAL view until growth and AI monetization provide clearer evidence of earnings acceleration.

Key Operating Evidence

Metric	FY26 / Q1 FY27
FY26 Revenue	Rs 178,650 cr
FY26 Reported Operating Margin	20.3%
FY26 Adjusted Operating Margin	21.0%
Q1 FY27 Operating Margin	21.1%
FY27 CC Revenue Guidance	1.5% - 3.0%
FY27 Margin Guidance	20% - 22%
Q1 FY27 Large-Deal TCV	\$3.6bn; 61% net-new

Valuation

Method	Value / Share
DCF — top-down build	Rs 796
DCF — bottom-up build	Rs 796
DCF value (builds reconcile)	Rs 796
Core EV / Revenue	Rs 1,203
Core EV / EBITDA	Rs 1,399
Core P / E	Rs 1,515
Indicative Target (60% DCF / 40% EV/EBITDA)	Rs 1,037

Catalysts

Higher FY27 growth guidance; sustained net-new large-deal conversion; increasing AI-linked revenue; productivity-led margin resilience; potential re-rating toward the historical or peer median P/E if growth visibility improves.

Risks

AI-driven fee-pool compression; weak discretionary IT spending; pricing pressure; a further guidance cut; margin deterioration below the 20% guidance floor; sector-wide multiple compression.

Methodology & Audit

FCFF DCF with an 11.59% WACC (bottom-up peer unlevered beta 0.8045 re-levered to 0.8244), 29.5% normalized effective tax, 3.0% terminal growth and an explicit 40% terminal ROIC. Built bottom-up from eight segments and cross-checked top-down; the two builds reconcile exactly once the corporate-cost bridge and a consistent (1+g) terminal convention are applied — a build-integrity check, not two independent valuations. Target = 60% DCF + 40% core-peer EV/EBITDA. Implied terminal EV/EBITDA diagnostic ~6.9x vs a ~11.6x core-peer median (reasonableness check, not an exit-multiple input). Beta window refreshed through the week of 18 August 2026 (last observation 16 August 2026); all 22 model checks pass.

Sources: Infosys FY26 annual report / Q1 FY27 results and guidance; Screener.in; Trendlyne; NSE Indices (Nifty 50 returns); benchmark G-Sec market data. Self-directed research exercise; not investment advice.